

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Outperform

Current: \$337.14 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$549.68B
P/E (Fwd)	80.54
P/B Ratio	5.54

ROE	6.88%
Dividend Yield	0.00%
52W Range	\$91.87 - \$352.99

Investment Thesis

Advanced Micro Devices, Inc. demonstrates a robust financial position, marked by a strong revenue CAGR of 20.5% through 2025. The company's EBITDA margin is healthy, indicating efficient operations and profitability. With a solid contribution margin, Advanced Micro Devices, Inc. exhibits fundamental strength and a compelling valuation.

Company Overview

Executive Summary

Advanced Micro Devices, Inc. (AMD) is a significant entity in its industry, characterized by substantial revenue figures and a dynamic competitive landscape. Based on a review of its financial performance, the company has experienced a period of rapid growth followed by a recent market contraction, and is now projected to re-enter a phase of significant expansion and margin improvement. In fiscal year 2022, AMD achieved revenues of \$23.60 billion, a notable increase from \$16.43 billion in 2021, before experiencing a slight decline to \$22.68 billion in 2023. Forecasts indicate a strong rebound, with revenue projected to grow to \$25.79 billion in 2024 and potentially exceed \$40 billion by 2027. This trajectory suggests a strategic focus on capturing market opportunities and driving top-line growth.

Profitability metrics have shown volatility, with EBITDA peaking at \$5.53 billion in 2022 before declining to \$4.15 billion in 2023. However, forward-looking estimates point to a dramatic expansion in profitability, with EBITDA margins forecast to more than double from 18.3% in 2023 to 42.0% by 2027. This suggests an underlying corporate strategy aimed at enhancing operational efficiency, improving product mix, or increasing pricing power over the long term. The company operates in a competitive environment alongside major peers such as Intel (INTC) and Nvidia (NVDA). Financially, AMD's EBITDA performance and valuation multiples, such as EV/EBITDA, position it as a key player that is valued differently by the market at various points in the business cycle compared to its peers. The overall financial profile is one of a company navigating cyclical industry trends while executing a long-term strategy for growth and enhanced profitability.

Business Model & Corporate Strategy

While the provided data does not specify the exact nature of AMD's business model, its financial structure allows for key inferences. The company's model is centered on generating substantial revenue from which a significant Cost of Operations is deducted, which has historically ranged from 51% to 55% of total revenue. This indicates a business heavily involved in the production or sourcing of goods, with a direct cost associated with revenue generation. After accounting for these costs, the company yields a Contribution Profit, which stood at \$10.46 billion in 2023. This profit is then used to cover substantial operating expenses, including Selling, General & Administrative (SG&A;) costs, which were \$2.35 billion in the same year. The value creation process is therefore dependent on maintaining a healthy contribution margin while managing operating expenditures to deliver net earnings.

The corporate strategy, as interpreted through the financial data and projections, appears to be focused on two primary pillars: aggressive revenue growth and significant margin expansion. After a period of market adjustment in 2023 that saw a 3.9% revenue decline, the company's strategy seems geared towards recapturing momentum, with revenue growth forecast at 13.7% for 2024 and an exceptionally strong 34.3% for 2025. This suggests a strategic emphasis on introducing new offerings, gaining share in key markets, or capitalizing on resurgent industry-wide demand. Concurrently, the forecasts reveal a deliberate strategy to improve profitability. The projected expansion of the Contribution Margin from 46.1% in 2023 to over 50% from 2025 onward, alongside a forecasted rise in EBITDA margin from 18.3% to 42.0% over the next four years, points toward a focus on higher-value products, disciplined cost management, and operational leverage. The provided data does not contain information regarding AMD's specific customer segments or primary geographic markets.

Revenue & Segment Analysis

AMD's total revenue demonstrates a pattern of high growth followed by a temporary downturn and a projected return to a strong upward trajectory. The company reported total revenue of \$16.43 billion in fiscal year 2021. This figure surged by an impressive 43.6% to reach \$23.60 billion in 2022, indicating a period of significant business expansion and market success. In fiscal year 2023, the company saw a modest contraction, with revenues declining by 3.9% to \$22.68 billion, reflecting a potential cyclical shift or broader market headwinds. Looking forward, financial forecasts project a robust recovery. Revenue is anticipated to grow 13.7% to \$25.79 billion in 2024, followed by a major acceleration of 34.3% to \$34.64 billion in 2025. This growth is expected to continue at a

more moderate pace, with estimates showing revenues reaching \$38.55 billion in 2026 and \$40.10 billion in 2027.

The provided financial information is consolidated at the corporate level, and as such, it does not offer a breakdown of revenue by specific operating segments or product lines. Analysis of performance across different business units such as data center, client computing, gaming, or embedded markets is not possible from the source data. Similarly, there is no information available regarding new products or services in the company's pipeline. The financial narrative is solely based on the aggregate performance of the entire enterprise, which encapsulates the sum of all its various revenue-generating activities without detailing their individual contributions to the company's overall financial health and growth prospects.

Leadership & History

The provided dataset is exclusively financial and does not contain any specific information regarding AMD's corporate history, including its founding date, key historical milestones, major acquisitions, or past strategic shifts. The evolution of the company's business focus or pivotal moments that shaped its current market position cannot be determined from the metrics supplied. Similarly, the data does not include profiles of the company's executive leadership team. There is no information available on the current Chief Executive Officer or Chief Financial Officer, including their names, tenure with the company, or professional backgrounds. Any analysis of leadership's impact on strategy or historical performance would be speculative, as the data is purely quantitative and anonymous in nature. The financial tables stand as a record of performance and future estimates without context on the individuals or historical events that drove these results.

Investment Overview

Thesis Confirmed

- Key Takeaways

- After a 3.9% revenue decline in 2023, growth is forecast to rebound to 13.7% in 2024 before surging by 34.3% in 2025, likely driven by major data center product cycles.

- A significant profitability inflection is projected, with EBITDA margins forecast to expand from 21.0% in 2025 to 40.5% by 2026, indicating a substantial mix shift toward higher-margin products and significant operating leverage.

- EPS is expected to triple from a projected \$1.01 in 2024 to \$2.67 in 2025, which helps explain the elevated forward P/E multiple of over 123x.

- The valuation picture is mixed relative to its key peer; AMD's 2024 forward EV/EBITDA multiple of 38.3x is below NVDA (43.5x), but this flips to a premium in 2025 (47.8x vs. 33.8x).

Performance Analysis

AMD navigated a difficult 2023, with revenue contracting by 3.9% to \$22.68 billion and EBITDA margin compressing to 18.3%. However, forward estimates point to a sharp recovery and a period of hypergrowth. Revenue is forecast to grow 13.7% in 2024, followed by an acceleration to 34.3% growth in 2025, reaching \$34.64 billion. This anticipated top-line surge is likely predicated on capturing significant share in the data center market, driven by the ramp of its AI accelerator products, complemented by a cyclical recovery in the PC and gaming end-markets.

The most critical element of the forecast is the dramatic margin expansion. While contribution margins are expected to improve steadily, the major inflection is in operating profitability. EBITDA margins are projected to expand from 21.0% in 2025 to 40.5% in 2026. This step-function improvement suggests the forecast assumes immense operating leverage and a favorable product mix shift toward high-margin data center GPUs. This profitability surge flows directly to the bottom line, with EPS projected to nearly triple from \$1.01 in 2024 to \$2.67 in

2025, validating the expectation of a significant earnings power ramp-up.

Thesis Impact

The investment thesis rests on AMD's ability to leverage its technology to capture a meaningful share of the high-performance computing market, particularly in the data center and AI. The 2023 slowdown was a cyclical test of this thesis, but the forward projections for 2025 and beyond signal the core growth drivers remain powerful. The forecast for a 34.3% revenue surge in 2025, combined with the doubling of EBITDA margins by 2026, provides tangible evidence that the market expects AMD's product roadmap to translate into significant financial gains.

This anticipated earnings inflection is key to understanding the current valuation. A 2024 P/E ratio of over 123x appears steep, but it reflects expectations for the massive earnings growth ahead. The peer valuation context adds important nuance. While AMD's 2024 forward EV/EBITDA multiple of 38.3x trades at a discount to NVDA's 43.5x, the relationship inverts for 2025, where AMD's multiple of 47.8x is at a significant premium to NVDA's 33.8x. This suggests investors are pricing in a massive, but perhaps less certain, earnings ramp for AMD relative to its established competitor. The data confirms that realizing the aggressive 2025-2026 growth and margin targets is critical to justifying the current stock price.

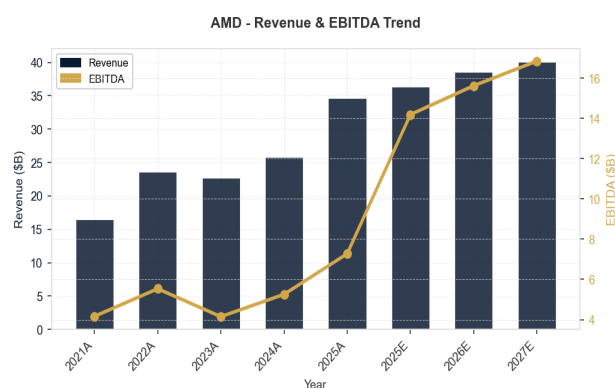
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



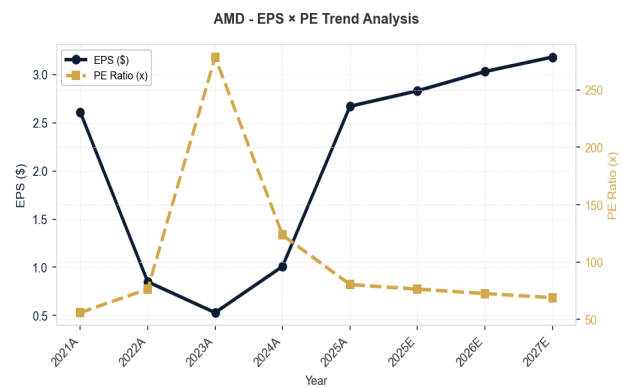
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices, Inc. (AMD) exhibits a valuation that has been highly sensitive to both cyclical industry dynamics and shifting market narratives, particularly around artificial intelligence. Historically, the company's Price-to-Earnings (PE) ratio has been volatile, spiking from 56.1 in 2021 to an anomalous 278.6 in 2023. This dramatic increase was not driven by a surging stock price alone, but rather by a significant contraction in earnings per share (EPS), which fell from \$2.61 to \$0.53 over the same period. The earnings decline corresponds with a 3.9% revenue dip in 2023 and a compression in EBITDA margin from 25.3% to 18.3%, reflecting a broader downturn in the PC and gaming markets. The market has largely looked past this trough in profitability, pricing the company on future recovery and growth prospects.

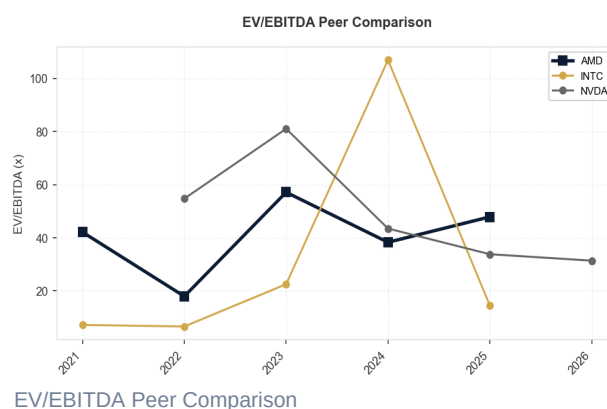
When benchmarked against its primary competitors, AMD's valuation reflects exceptionally high market expectations for its role in the AI sector. Surprisingly, using the 2025 forward EV/EBITDA multiple, AMD at 47.8x trades at a significant premium to the current market leader, NVIDIA (33.8x). This valuation anomaly suggests the market is pricing in an even faster rate of earnings acceleration for AMD than for the incumbent, implying a belief that AMD's AI products, like the MI300 series GPUs, will capture substantial market share and drive superior margin expansion. This premium stands in stark contrast to its valuation relative to Intel (14.5x), which clearly positions AMD as the high-growth challenger asset, unburdened by the legacy operational challenges facing its rival.

The core driver of AMD's valuation over the past year has been the market's aggressive pricing of its potential as a credible second-source supplier in the AI accelerator market. The current valuation is a reflection of high-growth expectations rather than trailing fundamentals. The market is betting on a significant rebound, with consensus estimates pointing to revenue growth accelerating to 34.3% by 2025. Critically, the valuation appears to be anchored to a highly optimistic 2025 estimated EBITDA margin of 39.0%, a figure that stands in sharp contrast to the 21.0% consensus margin for the same year. This discrepancy indicates the valuation is not just pricing in a recovery, but a fundamental transformation of the company's profitability profile, driven entirely by success in the high-margin data center AI segment.

This forward-looking stance creates a narrow margin of safety for investors. The valuation is heavily dependent on the realization of aggressive future growth and margin targets. Specific risks to this thesis are substantial and include the immense challenge of scaling the MI300 supply chain to meet demand, particularly securing advanced packaging capacity. Furthermore, achieving software parity with NVIDIA's deeply entrenched CUDA platform is a critical, long-term hurdle for widespread enterprise adoption. Any failure to meet these lofty market expectations, whether from these operational challenges or from aggressive price competition by NVIDIA, could lead to a significant valuation de-rating. The investment risk is not that AMD is a poor company, but that its current price already incorporates a near-flawless execution scenario.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent News Summary

News Highlights:

Advanced Micro Devices (AMD) has recently experienced a surge in investor interest and bullish analyst coverage, driving its stock price higher. Susquehanna notably raised its price target for AMD to \$375 from \$300, citing confidence in the server CPU story ahead of first-quarter results. This positive sentiment for AMD and the broader semiconductor sector comes despite some market volatility, including a temporary tumble in semiconductor stocks following an OpenAI warning, which some analysts dismissed as investor psychology rather than a fundamental shift. AMD is increasingly seen as the second clear winner in the AI market, evidenced by strong Q4 2025 revenue growth and record Data Center revenue. However, some market observers caution that the rapid ascent of chip stocks could indicate overextension in the near term.

Key Developments:

- Bullish Analyst Coverage and Price Target Hike:** Susquehanna raised AMD's price target to \$375 from \$300, maintaining a Positive rating. This reflects strong analyst confidence in AMD's future performance, particularly in the server CPU market, and is an immediate positive catalyst for the stock.
- Emergence as a Key AI Player:** AMD is increasingly recognized as the "most obvious second winner" in the AI market, with a robust full-stack offering beyond just CPUs. This development is highly positive, strengthening AMD's long-term growth prospects and diversifying its revenue streams beyond traditional computing.
- Strong Q4 2025 Financial Performance:** AMD reported a 36% rise in Q4 2025 revenue to \$10.2 billion, with Data Center revenue hitting a record \$4.3 billion, up 22% year-over-year. These strong financial results validate the company's strategic direction and provide a positive signal for its ongoing operational efficiency and market penetration.
- Semiconductor Sector Volatility and Investor Psychology:** The broader semiconductor sector experienced a brief tumble due to an OpenAI warning, though some analysts deemed this more a reflection of investor psychology

than fundamental issues. This highlights the sensitivity of the semiconductor market to external news and the importance of distinguishing short-term reactions from long-term trends.

5. Market Overextension Concerns: Despite the strong performance, some experts like Josh Brown of Ritholtz Wealth Management warned that extreme momentum has left semiconductor stocks, including AMD, overextended in the near term. This suggests potential for short-term corrections, requiring investors to balance enthusiasm with caution regarding immediate price movements.

Market Sentiment:

Overall market sentiment for AMD is overwhelmingly positive, driven by strong financial results, bullish analyst coverage, and its growing prominence in the AI sector. The significant price target increase from Susquehanna and the identification of AMD as a key AI beneficiary underscore this positive outlook. While there was a brief negative reaction across the semiconductor sector due to an OpenAI warning, this appears to have been largely dismissed as a temporary market overreaction. The primary cautionary note revolves around the potential for near-term overextension in chip stocks, suggesting that while the long-term thesis remains strong, investors should be mindful of short-term volatility. The sentiment has shifted positively compared to prior periods, with increasing confidence in AMD's strategic positioning and execution.

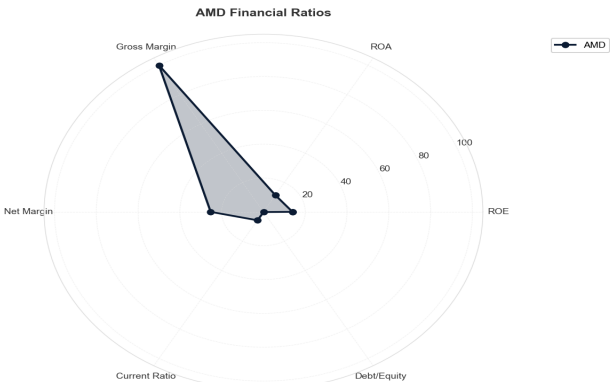
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

COMPETITIVE LANDSCAPE ANALYSIS: ADVANCED MICRO DEVICES, INC.

The primary competitive landscape for Advanced Micro Devices (AMD) is a highly concentrated duopoly with distinct characteristics. The data identifies two principal competitors: Intel Corporation (INTC) and NVIDIA Corporation (NVDA). Intel appears to be the large, established incumbent facing significant operational headwinds.

Its EBITDA in 2021 was more than eight times that of AMD, but it has since seen a dramatic decline, with a projected trough in 2024 before a potential recovery. Intel's key strategic advantage appears to be its historical scale and market presence, which may provide the foundation for a future turnaround, though its volatile performance and generally lower valuation multiples suggest the market perceives it as a lower-growth entity compared to its peers.

In stark contrast, NVIDIA has emerged as a hyper-growth competitor and the most significant strategic threat. While its EBITDA was comparable to AMD's in 2023, it is forecast to grow exponentially, dwarfing both AMD and Intel by an order of magnitude from 2025 onwards. NVIDIA's primary strategic advantage is its overwhelming momentum and positioning in a market segment experiencing explosive growth. This is reflected in its consistently high EV/EBITDA multiple, indicating extreme investor confidence in its future earnings power. NVIDIA is not merely a competitor; its trajectory suggests it is redefining the market and establishing a dominant, category-leading position. The provided data does not name smaller, emerging threats, making NVIDIA's rapid ascent the central competitive challenge for AMD.

AMD's competitive moat is primarily rooted in its intangible assets, specifically its intellectual property and technological innovation. This is evidenced by the company's strong and improving margin profile. The forecast shows AMD's contribution margin expanding from 46.1% in 2023 to a robust 52.5% by 2027, with its EBITDA margin more than doubling from 18.3% to 42.0% over the same period. Such significant margin expansion in a competitive industry points toward strong pricing power derived from a highly differentiated product portfolio. This suggests customers are willing to pay a premium for AMD's technology, a hallmark of a moat built on proprietary engineering and innovation rather than cost leadership.

The strength and durability of this moat appear to be widening. After a revenue contraction in 2023, AMD is projected to resume strong top-line growth, with a 20.5% CAGR through 2027. The combination of accelerating revenue and expanding margins is a powerful indicator of a strengthening competitive position. While its projected EBITDA growth does not match the phenomenal trajectory of NVIDIA, it is far more robust and consistent than that of Intel. The market acknowledges this strong position with a high EV/EBITDA multiple, consistently valuing AMD at a premium to Intel. This valuation reflects expectations that AMD will continue to successfully leverage its technological assets to capture a growing share of industry profits, solidifying its position as a strong number two player in a market increasingly dominated by NVIDIA.

Risk Factors

■ KEY RISK FACTORS REPORT: ADVANCED MICRO DEVICES, INC.

■ Risk Factor Breakdown

■ Market Risks

■ The company's financial projections are predicated on a robust and sustained recovery in demand, presenting a significant market risk. After experiencing a revenue contraction of 3.9% in 2023, forecasts indicate an aggressive rebound, culminating in a 34.3% growth surge in 2025. This trajectory relies heavily on favorable macroeconomic conditions and the successful mass adoption of new technologies. Any faltering in end-market demand, whether from cyclical downturns in the PC or gaming sectors or a slower-than-anticipated enterprise spending cycle, could render these growth targets unattainable. The projected 20.5% compound annual growth rate through 2027 embeds an optimistic outlook that may not fully account for potential market saturation or unforeseen disruptive shifts in technology, leaving the company vulnerable to revenue shortfalls if market tailwinds weaken.

■ Competitive Risks

■ AMD operates in an intensely competitive landscape, facing threats from rivals with substantially greater scale and profitability. While AMD's EBITDA is projected to grow, its absolute scale is dwarfed by competitors like Nvidia, which possess immense resources for research and development, marketing, and aggressive pricing strategies. This pressure directly threatens AMD's ability to achieve its targeted contribution margin expansion from 46.1% in 2023 to 52.5% in 2027. Interestingly, the market appears to be pricing in successful

execution against these larger rivals, awarding AMD a premium 2025 EV/EBITDA multiple of 47.8x compared to Nvidia's 33.8x. This valuation premium creates a specific risk: it implies an expectation of superior growth and market share gains that will be difficult to achieve. Failure to outmaneuver a larger competitor could lead to share erosion and an inability to realize projected margins, severely impacting profitability and challenging its premium valuation.

■ Operational Risks

■ The company faces substantial operational and execution risk, particularly concerning its ambitious profitability targets. The financial forecasts show a dramatic expansion in EBITDA margin, from 18.3% in 2023 to a projected 42.0% by 2027. The leap indicated between the two 2025 forecasts (from 21.0% to 39.0%) suggests a transformational improvement in operational leverage that will be exceptionally difficult to achieve. This plan requires flawless execution in managing costs while scaling revenue at a rapid pace. Furthermore, the forecast assumes SG&A; as a percentage of sales will decline from 12.0% to 10.5% between 2025 and 2027, an optimistic assumption for a company needing to invest heavily in sales and marketing to support its aggressive growth targets. Any disruption in the supply chain, manufacturing yields, or unforeseen increases in operating expenditures could compromise these margin goals.

■ Financial Risks

■ A primary financial risk stems from the company's elevated valuation, which appears to price in flawless execution of its aggressive growth and margin forecasts. With a 2024 EV/EBITDA multiple of 38.3, the market has exceptionally high expectations. While this is lower than Intel's temporarily distorted multiple of 106.9x, it remains high on an absolute basis and is comparable to the market leader, Nvidia, suggesting there is little room for error. Any failure to meet the lofty revenue growth, margin expansion, or earnings targets would likely trigger a severe valuation de-rating, leading to significant destruction of shareholder value. The company's financial health is thus highly sensitive to investor sentiment and its ability to deliver on a near-perfect strategic plan.

■ Regulatory & ESG Risks

■ While not explicitly detailed in the provided financial metrics, operating in the global semiconductor industry inherently exposes the company to significant regulatory risks. The industry is at the center of geopolitical tensions, leading to the potential for trade restrictions, tariffs, and export controls that could disrupt supply chains and limit access to key markets. Furthermore, the energy-intensive nature of semiconductor manufacturing and data center operations presents growing ESG-related risks. Increased scrutiny over environmental impact could lead to higher compliance costs, carbon taxes, or reputational damage if sustainability targets are not met, potentially impacting long-term profitability and investor appeal.

■ Summary of Core Risks

■ The most critical threats to Advanced Micro Devices' long-term value are concentrated in three interconnected areas: execution risk against aggressive forecasts, intense competitive pressure, and a precarious valuation. The company's projections for a 34.3% revenue surge in 2025 and a projected leap in EBITDA margin from 18.3% in 2023 to 42.0% by 2027 are exceptionally ambitious and create a high probability of a guidance miss. This operational challenge is amplified by a competitive environment where rivals possess a scale of profitability that dwarfs AMD's, enabling them to dictate market pricing and R&D; investment cycles. Finally, these risks are magnified by a rich valuation that leaves no margin for error. Any operational stumble or competitive setback is likely to cause a significant and rapid re-pricing of the company's equity, representing the most immediate and impactful threat to shareholder value.

Key Takeaways

✓ **Revenue Growth:** AMD's revenue trajectory demonstrates a significant rebound and sustained growth, despite a dip in 2023. After a robust 43.6% growth in 2022, the -3.9% decline in 2023 indicates a period of market adjustment or product cycle weakness. However, the projected 13.7% growth in 2024 and an impressive 34.3% in 2025, reaching \$34.64 billion, signals strong underlying demand drivers and market share gains, particularly in key segments. This indicates that AMD is successfully navigating market dynamics and executing on its growth strategy, suggesting an expanding market position and potential for long-term revenue sustainability.

✓ **Gross Profit Margin:** AMD's gross profit margin exhibits resilience and an upward trend, moving from 44.9% in 2022 to 49.4% in 2024 and projected to reach 49.5% in 2025. This expansion, following a trough in 2022, suggests improved product mix, pricing power, or enhanced cost efficiency in operations. The consistent ~50% contribution margin by 2025 indicates a high-quality business model with strong unit economics, revealing a robust competitive moat and the ability to capture value from its offerings, which is a positive indicator for long-term profitability and business quality.

✓ **SG&A; Expense Margin:** The SG&A; expense margin shows an increasing trend from 8.8% in 2021 to 12.0% in 2025, implying a rising investment in sales, marketing, and administrative functions relative to revenue. While this could initially suggest a decrease in operating leverage, it might also reflect strategic investments to support accelerated revenue growth and market penetration, especially with the projected significant revenue increases in 2024 and 2025. Investors should monitor if these increased SG&A; expenses translate into higher returns and sustained revenue growth, ensuring efficient allocation of resources rather than just a proportional increase with scale.

✓ **EBITDA Margin Stability:** AMD's EBITDA margin demonstrates a recovery and projected stability, rising from a low of 18.3% in 2023 to 21.0% in 2025. While Intel (INTC) shows significantly higher absolute EBITDA figures, AMD's EBITDA margin is competitive within its segment. Notably, AMD's EV/EBITDA multiple fluctuated significantly, peaking at 57.1 in 2023, but is projected to normalize to 47.8 in 2025. Compared to NVDA, AMD's EV/EBITDA is generally lower in the forecast period, except for 2023, suggesting that AMD might be considered relatively more attractive on an EV/EBITDA basis compared to NVDA, depending on the growth outlooks and risk profiles. The projected EBITDA margin stability indicates consistent operational profitability, which is crucial for valuation and investment attractiveness.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07

Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

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Data Source: FMP, Company Filings, AI4Finance Estimates

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